NBFCs are doing functions akin to that of banks, however there are a few differences:

(i) An NBFC cannot accept demand deposits (which are payable on demand), like the *savings* and *current accounts*.

(ii) It is not a part of the payment and settlement system and as such *cannot issue cheques* to its customers; and

(iii) Deposit insurance facility is not available for NBFC depositors unlike in case of banks (It means the public deposits with them are 'unsecured'. In case a NBFC defaults in repayment of deposit, the depositor can approach Company Law Board or Consumer Forum or file a civil suit to recover the deposits).

Under the RBI Act, 1934, the NBFCs have to get registered with RBI. However, to obviate ***dual regulation***, certain category of NBFCs which are regulated by other regulators are exempted from the requirement of registration with RBI such as:

(i) venture capital fund, merchant banking companies, stock broking companies register with Sebi;

(ii) insurance company holding a valid certificate of registration issued by IRDA;

(iii) *nidhi* companies under the Companies Act, 1956;

(iv) chit companies under the Chit Funds Act, 1982;

(v) housing finance companies regulated by National Housing Bank (of the RBI).

A company incorporated under the Companies Act, 1956 and desirous of commencing business of the NBFC should have a minimum net owned fund (NOF) of Rs 25 lakh (raised to Rs 2 crore from April 21, 1999). NBFCs registered with RBI have been reclassified (since 2006) as – the Asset Finance Company (AFC); Investment Company (IC); and the Loan Company (LC). ***Provisions*** for accepting deposits are:

- There is ceiling on acceptance of public deposits an NBFC maintaining required NOF and CRAR and complying with the prudential norms can accept public deposits maximum upto 4 times of NOF;
- Can offer the maximum 11% rate of interest;